

STRATEGY INC **MSTR** October 17, 2025 - 4:43pm EST
by

SamPR

2025 2026

Price:	291.70	EPS	0	0
Shares Out. (in M):	275	P/E	0	0
Market Cap (in \$M):	79,808	P/FCF	0	0
Net Debt (in \$M):	8,162	EBIT	0	0
TEV (in \$M):	90,864	TEV/EBIT	0	0
Borrow Cost:	Available 0-15% cost			

Description

MSTR has been written up several times on VIC as a short, including most recently on July 15 2024. MSTR is up 80% since then, due to a similar appreciation in the value of Bitcoin. That report was right but early, and now is the time to pay attention because the MSTR meme has run out of gas.

My thesis is that:

1. MSTR trades at a premium to NAV
2. MSTR will shortly trade at a discount to NAV, as reflexivity is starting to go the other direction

First, the nuts and bolts:

- Michael Saylor's strategy is to buy as much Bitcoin as possible, issuing convertible debt and other equity-like products to fund purchases
- The software business is weak and declining, deprived of attention or investment
- The stock traded at a large premium to it's Bitcoin-based NAV due to the perception that "number go up" and retail buying
- While engaging in complicated financial engineering (mezz shareclasses with funny names), MSTR leans into its retail shareholder base, publishing wierd KPIs such as "Bitcoin Yield" which is the amount of BTC-per-common share growth (due simply to issuing new share classes and buying Bitcoin)

This is a meme stock; the stock is the product. Check out the "[Merch](#)" link from [MSTR's IR website](#):





Apparel →
Accessories →
Gear →

It's a marketing company, where the company is marketing its own stock based on half-baked financial engineering while accumulating Bitcoin.

The software business is at this point worthless (within the context of \$80B market cap):

	2022	2023	2024	2025 (projected)
Software EBITDA ex stock comp	83	68	25	15
Fully-loaded EBITDA	20	-2	-52	-27

*all figures in \$M

The software business, which is worth far less than 1% of MSTR's EV, simply doesn't belong inside the company, and will never get enough financial resources or management attention to grow. I'm comfortable saying it's worth less than \$200M (i.e. negligible), but if you want to argue that it's worth \$1B, it won't change any conclusion in this report.

Thesis point 1 -- Due to retail enthusiasm, MSTR trades at a significant premium to NAV:

	Basic sharecount, BV of debt	Diluted sharecount, FV of convertible debt
Convertible debt	\$8,162	\$12,473
Mezz equity	\$2,894	\$2,894
Market cap	\$79,808	\$88,943
EV	\$90,864	\$104,310
EV/NAV	1.43	1.64

Common equity / common equity NAV	1.52	1.84
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*all figures in \$M except ratios

Some notes about how this table was calculated:

1. It uses figures from the Q2 10Q. Since then, MSTR has added 7% to its Bitcoin holdings, purchasing BTC at prices above today's value (not good for NAV)
2. The convertible debt FV is slightly inflated because MSTR traded at a higher price at the end of Q2 vs. today; similarly, the diluted sharecount is slightly inflated vs. today's market conditions

Whether we think about the premium as 1.4 or 1.8, it's pretty significant.

Thesis point 2 -- MSTR will shortly trade at a discount to NAV:

Consider the macro moment we are in:

- Inflation in US consumables and asset prices
- U.S. fiscal deficit at unprecedented levels and growing with no end in sight
- US Dollar has weakened by 5% over the past twelve months (measured by DXY)
- Gold up 27% over the last six months and at all-time highs

This is was Bitcoin was made for. And yet it is below its 200-day moving average and ~15% below its peak. The market is telling us this thing doesn't have a reason to go up. I've owned Bitcoin since 2017, and I'm not a Bitcoin bear. But Bitcoin goes in cycles, and I believe we're due for a period of cooling prices for 1-2 years at the very least, if not a 90% peak-to-trough correction, which has happened four times in Bitcoin's short lifetime.

While Bitcoin has lost some shine, MSTR is looking dull. It's nearly 40% below its peak. It exceeded Bitcoin's rise in late 2024, but hasn't kept pace in 2025.

This meme is long in the tooth.

MSTR should eventually trade at a discount to Bitcoin NAV:

- Bad corporate governance: Michael Saylor controls the company with special voting shares
- Unpredictable strategy; no cash return

This meme has run out of gas.

Key risk: number go up.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Bitcoin continues to sputter and even falls significantly; retail investors exit

Messages

Subject Math
Entry 10/17/2025 05:18 PM
Member StockOperator

Hi Sam, have you done any math on what BTC price this starts running into real trouble at? I haven't looked at the debt stack but figured that under 80k things get messy, average purchase price is ~73k.

Not sure the debt covenants they have in place and how the other forms of equity interact with MSTR as prices go lower. I assume they'd have to dilute more with a BTC drop to those levels, they'd have to cancel all the dividends on the other equity products and this could have 80-90-% downside?

Cheers

Subject People really seem to love pain / brain damage on this forum
Entry 10/17/2025 08:29 PM
Member RugPull1995

This is the same thesis as Tesla, quantum stonks, space stonks, you may realize that, you may not, idk.

I think some people find it super sexy to short meme stonks / things that don't make sense but it's just a macro call, which is frankly a terrible thesis.

When a price disconnects from reality it becomes a random number generator and four times a silly stonk price isn't four times as silly, it's still just silly.

Amazes me the extent to which people are willing to short this junk vs just find shorts that actually trade in fundamentals.

RugPull1995

Subject Re: People really seem to love pain / brain damage on this forum
Entry 10/18/2025 09:31 AM
Member SamPR

Thanks for the feedback RugPull. I want to respond to several of your points:

- "Just a macro call"; not really – MSTR is down -9% over the past six months vs. QQQ up 39% and SPX up 29%. MSTR is down 39% from its high about four months ago. Global liquidity is high, and yet MSTR is sputtering. MSTR can move in idiosyncratic directions. Granted, a serious macro downturn wouldn't hurt this short, but it can also work in different environments.
- "This is the same thesis as Tesla..." Yes, I see the similarity of MSTR to other meme stocks. But MSTR also has some unique characteristics I'll clarify below.
- "Random number generator..." Yes, I agree there's a high dispersion and unpredictability to MSTR prices, meriting caution, but still with favorable odds.

So why MSTR and why now? First of all, the meme is far less complex than Tesla. Tesla is (or aspires to be) an AI company (self-driving taxis, humanoid robots), whose future is far less certain and therefore subject to imagination than MSTR. That meme can be revived over and over due to it's complexity. Michael Saylor and MSTR simply aren't that imaginative. The meme is running out of gas.

Secondly, the chart is important for meme stocks. MSTR is full of short-term shareholders with a get-rich-quick mindset. MSTR stock price is below the moving average for 10 days, 20 days, 50 days, 100 days, and 200 days. The holders are losers at this point, which will motivate selling. My bet is that this thing will unwind.

Subject Re: Math
Entry 10/18/2025 09:40 AM
Member SamPR

I haven't looked closely at the covenants, but my sense is it won't be relevant to consider unless Bitcoin falls by >50%. In a 50% BTC decline, debt + mezz equity would still be >2.5x covered by Bitcoin assets.

Bitcoin plummeting >50% doesn't seem crazy to me, but it's also not my base case. I think MSTR EV / NAV could unwind to <1.0 long before MSTR would actually have to sell Bitcoin assets.

Subject Re: Re: People really seem to love pain / brain damage on this forum
Entry 10/18/2025 11:46 AM
Member RugPull1995

If the premium NAV randomly expands to 350% in a speculative frenzy, will you be pooping your pants and covering, or confidently adding to your position here because you know the premium couldn't possibly grow to 700%?

RugPull1995

Subject Re: Re: Re: People really seem to love pain / brain damage on this forum
Entry 10/18/2025 12:40 PM

Member

SamPR

No pooping my pants, hopefully, but yes I will cover long before the NAV premium expands to 350%.

See my comments below about the chart being important for this bet and MSTR being below short-term and longer-term moving averages. No one wants to own a losing meme-stock. If MSTR appreciates just 15-20%, exceeding most moving averages, I'd cover.

Subject

Re: Re: Re: Re: People really seem to love pain / brain damage on this forum

Entry

10/18/2025 10:15 PM

Member

RugPull1995

Ya - that's what I thought. Having no ability to add to a position if it goes against you = terrible idea.

RugPull1995

Subject

Re: Re: People really seem to love pain / brain damage on this forum

Entry

10/20/2025 04:31 PM

Member

punchcardtrader

So why MSTR and why now? First of all, the meme is far less complex than Tesla. Tesla is (or aspires to be) an AI company (self-driving taxis, humanoid robots), whose future is far less certain and therefore subject to imagination than MSTR. That meme can be revived over and over due to it's complexity.

Michael Saylor and MSTR simply aren't that imaginative. The meme is running out of gas.

Funny how VIC evolves to comparing and contrasting meme potential. I agree.

This thread finally drove home the "when" of TA (moving avg's e.g.). When the buyers are all emotion, guess TA carries a lot of weight. Remains an art, but it matters here.

Subject

Author Exit Recommendation

Entry

12/23/2025 01:31 PM

Member

SamPR

The author has recommended exiting the position

Subject

Re: Author Exit Recommendation

Entry

12/23/2025 01:38 PM

Member

SamPR

I closed the short today, but I may trade in and out of it in the coming months.

NAV premium is now <10%, so risk-reward has eroded. I do think NAV premium can ultimately turn into a discount, and Bitcoin can go lower. However I'm mindful that it's a bad time of year to be short losers (due to tax loss harvesting and cosmetic portfolio adjusting into the year-end, causing a selling pressure that reverses in Q1).

Subject

Re: Re: Author Exit Recommendation

Entry

01/02/2026 11:58 AM

Member

virtualodin

Have you looked at the prefs here?

Can get a ~10% running yield on a cumulative instrument where you theoretically don't see risk of impairment until BTC goes below \$22k and where the equity cushion above you gets topped up every quarter as MSTR issues equity.

Ty!

Subject

Re: Re: Re: Author Exit Recommendation

Entry

01/30/2026 10:35 AM

Member

SamPR

Haven't looked close enough to know what can go wrong, but I never thought financial stress would be an issue. It was never part of my short thesis.

However "don't expect it to be an issue" is not the same as "can't be an issue". I haven't looked close enough to know if the risk to the subordinated classes is 1% or 10%.

Subject

New lows

Entry

02/03/2026 12:28 PM

Member

natty813

"In honor of Strategy's 52-week low please create a picture of Michael Saylor being tarred and feathered:



Subject
Entry
Member

Re: New lows
02/03/2026 12:29 PM
natty813

"Next, please add the Ghost of Charlie Munger looking down and enjoying the spectacle"



Subject Re: Re: New lows
Entry 02/05/2026 10:54 AM
Member SamPR

The amazing thing is it's still an 8-bagger since 2020. I don't know how that works exactly, because according to MSTR metrics, their average price paid for BTC is >\$76,000/BTC (vs. \$68K today). So I don't know how they created so much value, even as they are significantly under water on BTC purchases.

Subject Re: Re: Re: New lows
Entry 02/05/2026 11:30 AM
Member natty813

When will Trump order the Fed to start purchasing crypto? Is that an initial topic of discussion with Warsh?

I am sure the money laundering crypto felons who have been pardoned can make an extra contribution for the new ballroom or a preferred PAC or two to aid with the midterms.

Just this week we have seen the utility of bitcoin with the ransom for Savannah Guthrie's Mom. So many use cases!

Subject Re: Re: Re: New lows
Entry 02/05/2026 11:45 AM
Member finn520

If my math is right, they have issued 85 million shares at \$332/share since start of 2024 vs starting share count of 157 million, so there you go. Issuing shares at massive premiums to NAV is a good deal if you can get it.

Subject Re: Re: Re: Re: New lows
Entry 02/26/2026 01:58 AM
Member bafana901

<https://x.com/Hedgeye/status/2026670141547610287>